

Research briefing | UK

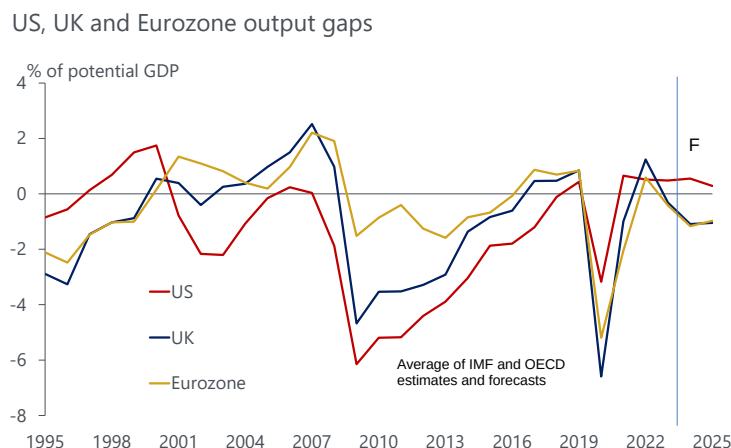
Why the BoE can and will cut before the Fed

- Historically, the UK has tended to cut rates slightly after the US central bank. It's often been tempting – and usually wrong – to argue that "this time is different". However, we think this time really is different and expect the UK will cut a little before the Fed in coming months, and cut a bit faster over the year ahead.
- Unlike the US, UK inflation in recent quarters has undershot the central bank's expectations and is likely to return to target in the next month or two. What's more, recent economic growth has been much weaker in the UK than the US, and as a result, labour market tightness has faded faster in the UK. For example, unlike the US, the UK vacancy/unemployment ratio is back to pre-pandemic levels.
- To be sure, the UK is sensitive to external monetary policy decisions and prospects. But the Bank of England would not be alone if it eased before the Federal Reserve. The Swiss National Bank and Sweden's Riksbank have already done so, and the European Central Bank is likely to cut in early June.
- We expect the BoE's Monetary Policy Committee will cut rates soon, with a narrowly-balanced choice between June and August for the first cut and rates falling by 75bps by year end. This is a little earlier than our forecast for US easing, with a first cut expected in September and rates coming down by 50bps by year end.

There seems to be a fairly strong perception in financial markets that the timing and pace of any cuts in UK policy rates will depend quite heavily on the US Federal Reserve's monetary policy decisions. For example, the backup in US rate expectations over recent months has been mirrored to an extent in the UK. The Bank of England's [Monetary Policy Committee recently noted](#) that the correlation between US and UK market interest rates has been "near the top of its historical range", and the sensitivity of UK rates to both US and domestic data outturns has "remained elevated".

However, at present the US and UK economic positions show a relatively high degree of divergence, with markedly weaker growth recently in the UK, and, unlike the US, rising spare capacity. As a result, and in a departure from practice in recent decades, we think the MPC is likely to ease ahead of the Fed in the summer.

Chart 1: Unlike the US, sluggish growth is creating spare capacity in the UK



Sources: Oxford Economics/Haver Analytics

Why the UK BoE can (and will) cut before the US Fed

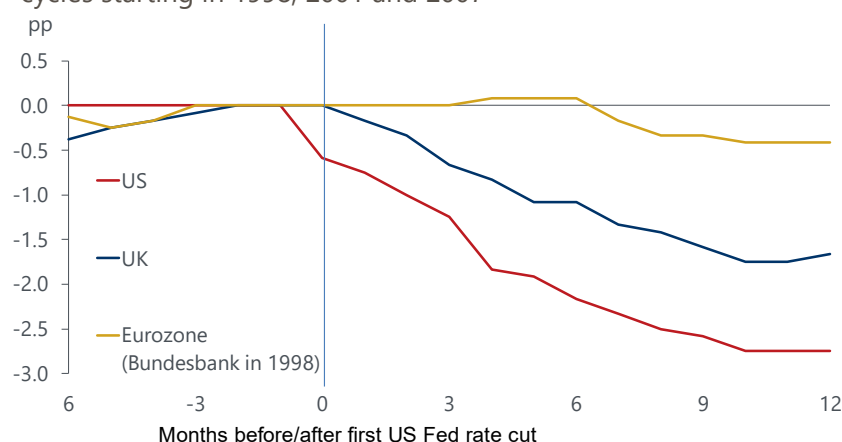
Historically, the MPC has tended to slightly lag the Fed in easing

To be sure, previous MPC easing cycles have tended to follow Fed easing cycles. The MPC started to cut rates one month after the Fed in 1998 and 2001, and three months after in 2007. Apart from during the pandemic, there have been no general easing cycles since then.

However, those easing cycles all occurred some time ago when the cyclical positions (i.e., output gap) of the US and UK were similar, and the economic shocks affecting the UK from swings in credit supply and housing mirrored and slightly lagged those in the US. In other words, the apparent close co-movement of US and UK policy rates was a reflection of the close co-movement of their economies rather than because the MPC deliberately followed the Fed. As [BoE Governor Andrew Bailey recently noted](#) "there is no law which says that the Fed must move first and everyone else, including us, moves afterwards."

Chart 2: From 1998 to 2007, the BoE eased just after the Fed

US, EZ and UK: Average changes in policy rates around Fed easing cycles starting in 1998, 2001 and 2007



Sources: Oxford Economics/Haver Analytics

Currently, there are some broad similarities between the US and UK economic positions and outlooks. Central bank policy rates have risen markedly in both countries, while interest rates on new mortgages are about 300bps above their Q4-2019 levels. As a result, job vacancies have fallen, and housing activity and prices have weakened in both countries. Moreover, in both the US and UK, inflation has slowed close to target, but services inflation and pay growth remain above a target-consistent pace.

However, there are also important differences between the US and UK economies at present.

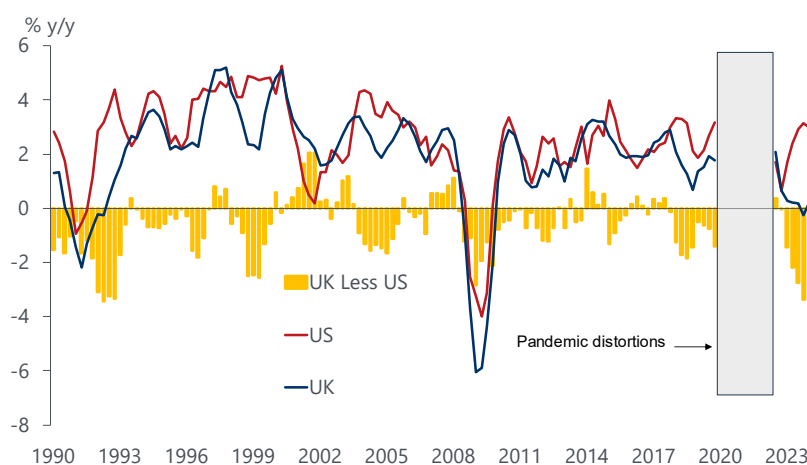
UK growth has been weaker, creating disinflationary slack

Even with the stronger Q1 data, UK real GDP rose just 0.2% y/y – well below potential. By contrast, partly reflecting greater fiscal support, US real GDP in Q1 was up 3.0% y/y – a pace that probably slightly exceeds potential. The gap between UK and US real GDP growth at present (about 3ppts) exceeds any period in the last 30 years other than temporary divergence during the global financial crisis and the pandemic. As a result, UK job growth (-0.6% y/y on the Labour Force Survey measure, 0.4% y/y on the HMRC payroll measure) is weak and below the 2016-2019 average, whereas US job growth (1.8% y/y) is slightly above the pre-pandemic norm.

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Chart 3: UK growth is running well below the US pace

US and UK: Real GDP y/y

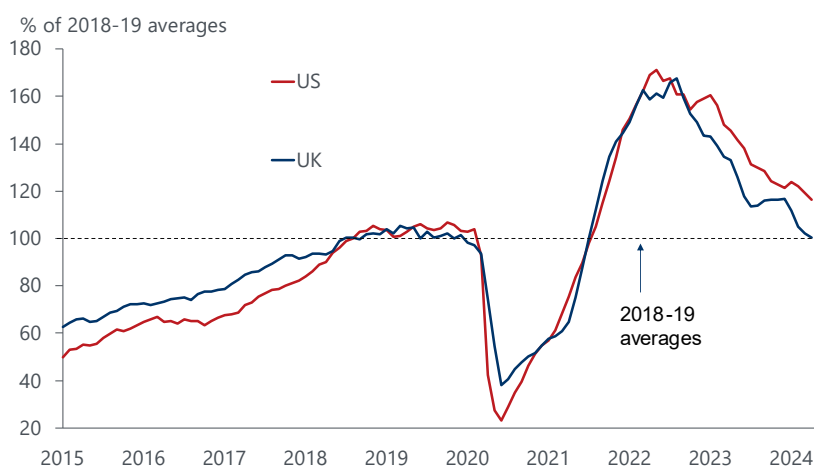


Sources: Oxford Economics/Haver Analytics

Hence, recent labour market tightness has dissipated to a greater extent in the UK: for example, the vacancy/employment ratio is now back to the 2018-2019 average in the UK, whereas it is still 16% above it in the US. Consistent with this, the IMF and OECD estimate that the UK this year will have an output gap (i.e., GDP below potential) of about 1% of GDP, whereas the US continues to have excess demand (i.e., the level of GDP is above potential). Taking the average of the IMF and OECD output gap estimates, the disparity between the cyclical positions of the US (with excess demand), and the UK (with a shortfall of demand), this year is likely to be the widest since the late 1990s, apart from pandemic-affected figures.

Chart 4: Labour market tightness has faded faster in the UK than the US

US and UK: ratio of vacancies to unemployed



Sources: Oxford Economics/Haver Analytics

UK unlikely to reverse recent underperformance

This disparity between the US and UK economies' cyclical positions (ie GDP versus potential) is likely to persist in the coming year or two.

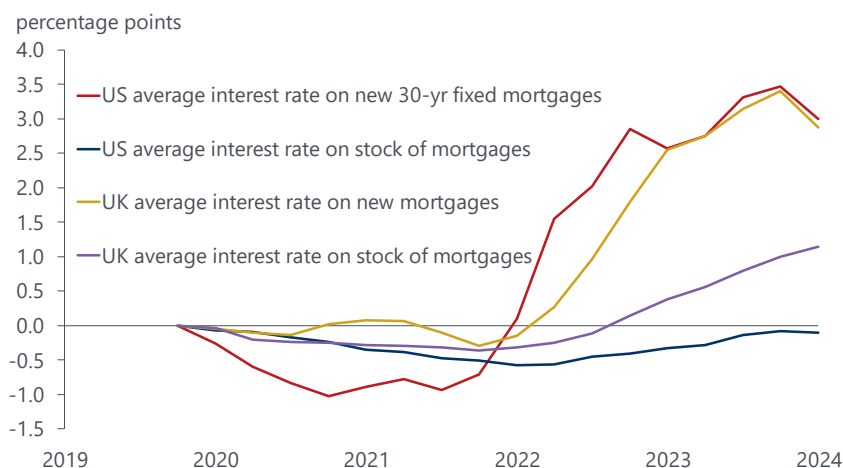
The UK economy faces a greater ongoing drag on household cashflow from past monetary tightening, due to the faster reset of existing mortgages onto higher rates. Most UK mortgages have interest rates that are fixed for five years or less compared to the US's 30-year norm, and so the reset flow is much greater in the UK. Since Q4 2021, the average interest rate on the stock of mortgages has risen by 150bp in the UK and continues to rise by 15bps-20bps per quarter. If interest rates on new mortgages are unchanged, this stock mortgage rate will continue to rise markedly in the next couple of years.

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In the US, this channel from mortgage resets is much weaker: the average stock mortgage rate has risen by just 50bps since early 2022, and by only 5bps in the last two quarters combined. Unlike the UK, the average stock mortgage rate in the US remains a little below the 2019 levels. With mortgage debt equal to 90% of disposable income in the UK, the continued climb in debt service costs implies a sizeable ongoing drag on household cashflow and spending that does not apply in the US.

Chart 5: Average interest rates on the stock of mortgages have risen much more in the UK than the US

Changes in average mortgage rates since Q4-2019

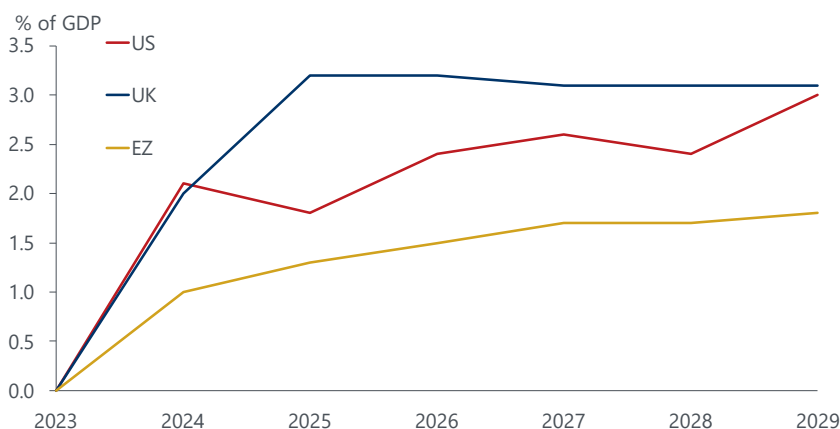


Sources: Oxford Economics/Haver Analytics

In addition, the UK faces earlier and more certain fiscal headwinds. The [IMF estimates](#) that, on current policies, the fiscal stance (measured by the cyclically adjusted primary balance) will tighten by about 3% of GDP between 2023 and 2029 in both the UK and US. However, fiscal policy is likely to weigh much more heavily on growth next year in the UK. And with elections looming in both countries, this fiscal tightening is more certain in the UK. In the UK, Labour has already committed to fiscal rules that are similar to the current ones and if it wins heavily, as seems likely, it may aim to front-load fiscal tightening to get it done well before the subsequent election. In contrast, the post-election fiscal policies in the US are much more uncertain, especially in the event of a [Trump administration](#).

Chart 6: Fiscal tightening is likely to be more front-loaded and certain in the UK than the US

US, UK and Eurozone: change in cyclically adjusted primary fiscal balance from 2023 (IMF estimates)



Sources: Oxford Economics/Haver Analytics

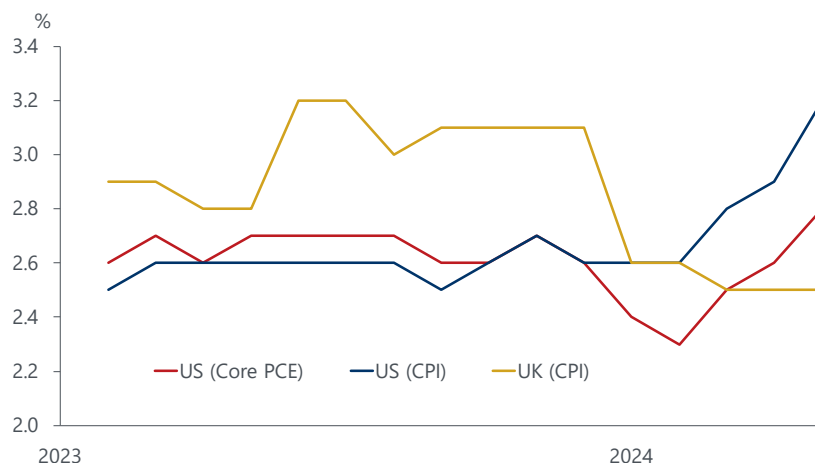
Why the UK BoE can (and will) cut before the US Fed

Unlike the US, UK inflation has recently undershot central bank expectations.

UK CPI inflation has undershot the MPC's forecasts for three consecutive quarters. In contrast, US Fed Chair Jerome Powell [recently noted](#) that the inflation data received so far this year have been higher than expected. Consistent with that, consensus forecasts for US inflation this year have risen in recent months, whereas those for the UK have fallen (and the MPC recently trimmed its forecast for Q4 inflation).

Chart 7: Unlike the US, consensus inflation forecasts have recently fallen in the UK

US and UK: Consensus forecasts for 2024 average inflation



Sources: Oxford Economics/Haver Analytics

UK near-term inflation prospects also are weaker.

UK inflation is likely to return to the 2% target in the next month or two (i.e., the April or May data) and remain around target in H2 this year, reflecting a further unwind of the previous [direct and indirect boost from energy prices](#), the easing of supply constraints among consumer goods, as well as disinflationary effects from sluggish economic growth. Moreover, we expect headline inflation will undershoot MPC forecasts in H2 this year. In contrast, the Fed's preferred inflation gauge, core PCE, is likely to remain a little above the 2% target over the rest of this year.

Certainly, UK core inflation is likely to stay above a target-consistent pace in the next few months. But the softer headline figure should help dampen inflation expectations and reinforce the prospect that pay growth will slow further next year to a target-consistent pace.

The UK is sensitive to external monetary and financial conditions...

Of course, we wouldn't argue that US monetary policy decisions – or ECB policy decisions – have zero impact on UK monetary policy. As a smallish open economy, the UK is significantly affected by [external monetary policy decisions and expectations](#). Higher interest rates overseas might, if not matched in the UK, cause sterling to depreciate significantly. If so, the resulting boost to UK growth and inflation could create pressure for higher interest rates in the UK as well. Likewise, higher external interest rates could impact asset prices and financial conditions more broadly in the UK, while also affecting the overseas businesses of firms that operate in the UK.

But these channels only matter insofar as they affect UK growth and inflation prospects, rather than because of any intrinsic sense of "follow the leader". Moreover, the UK is unlikely to be an outlier in cutting rates before the US Fed, which probably limits the risk of a significant depreciation to sterling's trade-weighted exchange rate if the MPC also does so. The Swiss National Bank and Sweden's Riksbank have already cut rates, and the European Central Bank is likely to cut in early June (before the MPC June policy meeting). Indeed, UK 2-year swap rates have already moved from being slightly above US levels last year to slightly below now, and sterling's trade-weighted exchange rate has been roughly stable over that period.

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Still, a sense that cutting before the Fed is slightly unusual probably will reinforce the MPC's preference that any easing is not a surprise to markets when it happens.

...but it's not such a big deal to cut slightly ahead of the Fed

Having argued that the UK is likely to cut before the Fed, we should acknowledge that differences in the timing of the first rate cut and the subsequent rate trajectories are likely to be quite modest. We expect the [US Fed](#) will start to cut rates in September, with rates falling 50bps by year end and 150bps by end-2025.

For the UK, we expect [the BoE](#) will start to cut rates in June or August, with June marginally the more likely, but this will depend on upcoming pay and price data, and the response of markets to those data. We forecast the MPC will cut rates by 75bps by the end of this year, and 175bps by the end of 2025. And we expect [the ECB](#) will cut a little earlier and faster than both the Fed and BoE. It's unlikely that this modest rate divergence will significantly impact UK asset prices, including the exchange rate.